

LOANS

SHINING SURGE IN GOLD LOANS

The rising price of gold has encouraged people to borrow against the yellow metal, as they get better terms for this asset compared to other forms of borrowing

The festive season in India is characterised by increased sales of everything—from clothes to food. But, the one item that gets a lot of traction is gold and jewellery, because of the tradition of buying the metal during festivals, especially Diwali. The past two months have witnessed an increase in demand after the reduction in import duty on gold announced in the Union Budget. Consumers are flocking to buy the yellow metal for personal and traditional reasons as well as to hedge their investment portfolios, given the global economic uncertainty caused by the ongoing conflicts.

Jewellers have witnessed an increase in demand by customers. They offer multiple sales schemes that also draw customers in. On the bourses, some of the small and mid-size jewellers are taking this optimism by going for listing. The stock prices of listed companies such as Kalyan Jewellers, P.N. Gadgil Jewellers and Senco Gold have been on the up in recent times and other smaller firms are looking to tap the markets. Rerating of stocks is expected, but the sentiments are favouring listed stocks as well as demand for gold.

There is also a secondary market for gold in the form of loans against securities which are offered by Non-banking Financial Companies (NBFCs), banks and several leading jewellers. The reason for the spurt in the demand for gold loans has also to do with the rising price of the metal, which means borrowers get a better value for the jewellery that they are borrowing against. A gold loan is a secured loan where the borrower hands over her gold to the lender and in return gets a loan up to 80-85 per cent of its value. The lender checks the quality of the gold for its purity and the gold is treated as collateral against the loan.

GOLD LOANS ARE EXTENDED NOT BASED ON THE COST OF JEWELLERY BUT THE VALUE OF THE METAL ITSELF

The lender performs due diligence on the borrower with KYC (Know Your Customer) and follows other guidelines as detailed by the RBI. On completion of the paperwork and the valuation of the gold, the lender approves the loan. When the borrower agrees to the valuation and the sanctioned loan against their gold, the accepted loan amount is credited to the borrower's

Illustration by **SIDDHANT JUMDE**